

necessary to get your portfolio where it needs to be. Which of the following is most likely?

- a. You take action on the recommendation immediately.
- b. You say you'll "think about it" to do an honest review and get back to your advisor in a week—and you actually will get back to your advisor in that time.
- c. You say you'll "think about it" and get back to your advisor in a week—and you probably won't get back to your advisor and may not for three to six months because you tend to agonize over making substantial changes like this.

Question 2: Your investment portfolio contains a certain high-quality corporate bond. The bond has been providing income for you, and you are happy with it. Your financial advisor analyzes your bond holdings and recommends that you replace the corporate bond with a municipal bond of comparable quality, estimating that you will obtain a better return after capital gains taxes and fees. You aren't familiar with this municipal bond. What is your most likely response?

- a. I will sell the corporate and purchase the municipal bond.
- b. I will keep things as they are.

Question 3: Suppose that you have inherited a fully liquid investment in a South African gold mine from your eccentric Uncle Jim. You discuss the asset with your financial advisor, and she concludes that your portfolio already contains enough gold and commodities. More important, Uncle Jim's bequest isn't a diversified asset. Your advisor recommends selling it. What is your most likely course of action?

- a. I will sell, as recommended by my financial advisor.
- b. I will hold on to the gold mine interest, because I don't like to sell or modify things that people pass away and leave to me.

Test Results Analysis

Question 1: Answering "c" demonstrates a classic example of status quo bias.

Question 2: People who select "b" are likelier to suffer from status quo bias than people who select "a." Option "a" probably offers higher returns, but option "b" is, alas, the status quo.

Question 3: In this situation, most people would behave as depicted in "b," even when lacking any cogent rationale for holding the asset. Option "b" suggests status quo bias; "a" does not.